

MNQ FLOW Trading in Structures

Two Structures

1. Zig-Zag at 9 and 2
 - a. 9 is the setting that gives me outer structure (OS).
 - b. 2 gives me inner structure (IS).
 - c. Often, I can trade the retrace of OS trend by using a structure break on the IS.
 - d. Zig-zag structure is data-backed, measured and provable.
2. Broadening Formations
 - a. Broadening Formation (BF) data is still being developed.
 - b. I use BF's as a general "key level" to watch.
 - c. The best-use is in price discovery, insuring I don't get chopped up. It helps me know when NOT to trend trade.
 - d. But it also helps me to see when price might want to fade the extreme BF and head to the other.

Prove-it Candle Entry Triggers

1. Hammers
2. Strong Close Breaking Structure
 - a. Strong close = Candle-body close above or below structure
 - b. Favorites are Engulfing that rejects retrace in an established trend
 - c. Breaking HL or LH to reverse
3. Scale in 1 Contract per Trigger
 - a. Normal max = 3,
 - b. On occasion, when risk is controlled, can occasionally roll to 6.

Profit Capture

1. Longs, trail the stop and let them run when opportune.
2. Shorts, lock in profits early and don't assume runners

Risk Controls

1. Initial Wide Stop
 - a. Still place it behind the point where the thesis is invalid, don't randomly place SL.
 - b. But don't make it so tight that you lose position and thesis still plays out.

- c. Keeping with max acceptable risk.
- 2. Stop Behind Last FVG Candle Extreme
 - a. Aligned with direction
 - b. Keeping with max acceptable risk.
 - c. If setup doesn't allow for it, skip.